

Policy Surrender & Cancellation

Standard Operating Procedure — Harbour Life Assurance

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Process Owner	Policy Administration — Operations
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Approved By	Head of Operations
Classification	Internal Use Only

1. Purpose

This SOP defines the end-to-end process for handling full surrenders, partial withdrawals, and free-look cancellations of individual life, endowment, and investment-linked policies (ILPs). It ensures accurate surrender-value calculation, regulatory and anti-money-laundering compliance, and timely, auditable disbursement to policyholders.

2. Scope

Applies to all in-force individual life, endowment, and investment-linked policies administered in the Policy Administration System (PAS). Group schemes, claims, and policy loans are out of scope and governed by their own procedures.

3. Definitions

- **Free-look (cooling-off) period** — 14 calendar days from policy delivery during which the policyholder may cancel for a refund of premiums, less medical/administrative costs.
- **Surrender Value** — the cash amount payable on termination, net of surrender charges and any outstanding loans or premiums.
- **ILP unit value** — value of allocated units priced at the next valuation point after a complete request is received.
- **AML/CFT** — Anti-Money-Laundering / Countering the Financing of Terrorism screening.

4. Roles & Responsibilities

Role	Responsibility
Policyholder	Submits a signed surrender/cancellation request with supporting documents.
Customer Service Officer (CSO)	Receives the request, verifies identity, checks policy status.
Policy Administration Team	Determines request type and computes surrender value (non-ILP).
Actuarial / Valuation	Confirms ILP unit pricing and surrender-charge schedule.
Compliance (AML)	Screens payouts above the reporting threshold.
Finance & Disbursements	Executes the approved payment and reconciles the GL.
Branch Manager	Authorises payouts above delegated limits.

5. Procedure

Phase 1 — Request intake & verification

Step	Activity	Responsible	Timing
1	Request received via branch, secure portal, or post; logged in PAS with a request ID.	CSO	T+0
2	Verify policyholder identity and signature against records.	CSO	T+1 day
3	Confirm policy is in-force and premiums are paid to date.	Policy Admin	T+1 day
4	Determine request type: free-look cancellation, full surrender, or partial withdrawal.	Policy Admin	T+1 day

Decision: Is the request within the 14-day free-look period? → *Yes:* process free-look refund (premiums less costs). → *No:* process as a surrender.

Phase 2 — Valuation & checks

Step	Activity	Responsible	Timing
5	Compute surrender/cash value; for ILPs, apply unit price at the next valuation point.	Policy Admin / Actuarial	T+3 days
6	Deduct outstanding policy loans, accrued interest, and unpaid premiums.	Policy Admin	T+3 days
7	Apply surrender charges per the product charge schedule.	Policy Admin	T+3 days
8	Run AML/CFT screening for any payout of SGD 20,000 or more.	Compliance	T+4 days

Phase 3 — Approval, disbursement & closure

Step	Activity	Responsible	Timing
9	Authorise the payout per the approval matrix; obtain signed discharge.	Per matrix	T+5 days
10	Disburse funds by bank transfer to the verified account.	Finance	T+7 days
11	Update PAS status to 'Surrendered/Cancelled'; issue confirmation letter.	Policy Admin	T+8 days
12	Archive documents in the Document Management System; update the GL.	Finance	T+9 days

6. Approval / Authority Matrix

Payout amount	Approver	Secondary
Up to SGD 10,000	Customer Service Officer	—
SGD 10,001 – 50,000	Team Lead	CSO recommendation
SGD 50,001 – 250,000	Branch Manager	Team Lead
Above SGD 250,000	Head of Operations	Compliance sign-off

7. Service Levels

- Acknowledge request within **1 business day**.
- Free-look refund within **7 business days** of a complete request.
- Surrender payout within **10 business days** of complete documentation.

8. Systems & References

Systems: PAS, Unit Pricing Engine, AML screening tool, Payment Gateway, Document Management System. References: Product Disclosure Statement (PDS), AML/CFT Guidelines, Free-Look Regulation.

9. Revision History

Version	Date	Summary
1.2	01 Mar 2025	Added ILP unit-pricing step.
1.4	01 Feb 2026	Updated AML threshold and approval limits.